

2.7 WAGE PAYMENT METHODS

MARKING SCHEME

1991/CE/II/08 D	1996/CE/II/16 A	2000/CE/II/15 D	2009/CE/II/18 A (77%)	2021/DSE/I/07 A
1991/CE/II/22 D	1998/CE/II/17 D	2002/CE/II/16 D (66%)	2012/DSE/I/07 A (76%)	2025/DSE/I/08 C
1994/CE/II/18 D	1999/CE/II/13 C	2003/CE/II/18 A (84%)	2013/DSE/I/07 D (83%)	
1995/CE/II/17 A	1999/CE/II/51 B	2006/CE/II/16 B (75%)	2016/DSE/I/10 A (94%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/1(a)(iii)

- output is difficult or costly to measure
- work not standardized
- easy to calculate wage payment

(Mark the **FIRST TWO** reasons only.)

(2@, max: 4)

1992/CE/I/1(c)

(As compared with the case when the driver is paid a fixed wage.)

Advantages:

- part of the risks can be shifted onto the driver
- the owner may earn a higher income as the driver has a higher working incentive

(3@, max: 3)

Disadvantages:

- under-report of the true revenue as the driver tends to cheat
- higher maintenance cost as the driver tends to over-utilize the taxi

(3@, max: 3)

(Mere listing of point elaboration -- max. 1 mark. Mark the **FIRST** point only.)

1993/CE/I/1(d)

Time rates

- the manager's output is difficult or costly to measure / work not standardized
- easy to calculate the wage payment

(2@, max: 2)

Profit-sharing

- the manager has higher incentive to manage the firm
- better control of production cost
- the manager is more loyal to the firm

(2@, max: 2)

(Mark the **FIRST** point only.)

1996/CE/I/12(b)

Advantages:

- higher working incentive
- lower monitoring

(2@, max: 2)

Disadvantage:

- less careful in using the machinery
- better quality control is required

(2@, max: 2)

(Mark the **FIRST** point only.)

Microeconomics by Topic

2. Production

1998/CE/1/11(a)

- basic monthly salary to maintain a team of staff
 - commission to increase the incentive to sell
 - to lower the monitoring cost because the amount of commission already reflects the output of the salesman
 - to share risk of operation with the salesman because commission payment varies with the sales revenue
- (2@, max: 4)
- (Mark the **FIRST TWO** points only.)

1999/CE/1/3

Company A is using time rate (1)
and Company B is using piece rate. (1)

Time rate:

- to avoid the disadvantage of using piece rate under which workers may forego quality for quantity
 - to maintain a steady supply of workers within a time period
 - no need to measure the output for determining the wage payment
- (2@, max: 2)

Piece rate:

- to improve the incentive to produce more or to increase productivity of workers
 - to save the monitoring cost of workers (e.g. quality control)
 - less rigid to adjust the total production cost: extra workers can be employed or dismissed according to the business volume
- (2@, max: 2)
- (Mark the **FIRST** point only.)

2001/CE/1/9(c)

Advantage:

- his workers would have a higher working incentive
 - lower cost of supervision
- (1@, max: 1)

Disadvantage:

- higher cost of monitoring the quality of the products
 - more costly to calculate the wage payment
- (1@, max: 1)
- (Mark the **FIRST** point only.)

2002/CE/1/12(b)(i)

Advantage:

- to maintain a team of staff
 - lower cost of measuring the contribution of the workers
- (2@, max: 2)

Disadvantage:

- lower working incentive
 - higher supervising cost
- (2@, max: 2)
- (Mark the **FIRST** point only.)

2007/CE/1/2

(a) Post A: time rate (1)
Post B: piece rate (1)

- (b) (i) - higher monitoring cost
- lower working incentive
 - lower productivity
- (2)

- (ii) - lower quality of product
- higher cost of measuring the output
- (2)
- [Mark the **FIRST** point only.]

2008/CE/1/9(c)

- to increase the working incentive
 - to lower the cost of monitoring the performance of the employees
 - to spread the business risk between the employer and the employees
- (Mark the **FIRST TWO** point only.)

(2@, max: 4)

2009/CE/1/4

- (a) Job A: piece rate
Job B: time rate

(1)

(1)

- (b) One advantage:

- lower cost of supervising their workers
- higher working incentive
- higher productivity

(2)

One disadvantage:

- higher cost in measuring the output
- higher cost of monitoring the quality of service

(2)

[Mark the **FIRST** point only.]

2010/CE/1/3

Advantage of this payment method to shop owners over the payment method of a basic salary only:

- to increase the incentive to sell more
- lower the monitoring cost of the work effort
- share risk of operation with the salespersons

(2)

Advantage of this payment method to shop owners over the payment method of a commission only:

- to maintain a team of staff / reduce turnover rate as salespersons won't leave easily
- easier to employ staff due to more stable income

(2)

[Mark the **FIRST** advantage only.]

2013/DSE/11/10(b)

- (i) It improves the work incentive of the manager.

(2)

- (ii) It gives a more stable income as the manager still receives a basic salary even if the business is poor.

(2)

2015/DSE/11/10(b)

The owner of the football team can share some business risks with Player B as the former would make less payment to the latter when no match is played and/or no goal is scored

(2)

The owner of the football team can have a lower cost of monitoring players' performance as Player B would have a higher work incentive in training and in matches

(2)

2017/DSE/11/2(a)

- (i) possibility of getting higher income with more effort and/or better service

(2)

- (ii) lower cost of monitoring the performance of the waiters and/or higher incentives for the waiters to work harder and provide higher-quality service to the customers

(2)

2018/DSE/11/10(a)

The cost of measuring the output of the foreign domestic helpers is too high / the work of domestic helpers is not standardised.

(2)

2019/DSE/II/9

- (c) **Advantage:** Cost of measuring output of the employees can be saved. (2)
Disadvantage: Work incentive may not be high.
[Mark the FIRST advantage and FIRST disadvantage only.]
- (d) **Advantage:** Higher output will yield higher income. (2)
Disadvantage: Income may be unstable.
[Mark the FIRST advantage and FIRST disadvantage only.]

2021/DSE/II/1

- (a) Disadvantages:
..... Less job/income stability
..... Self-provision of capital goods¹
..... Tendency to drive fast and ignore road safety
..... Any other relevant point
[Mark the FIRST TWO points only.]

2022/DSE/II/10d

- (d) It can reduce the monitoring cost as athletes can have a higher incentive to win games. (2)

2023/DSE/II/10(e)

- (e) It is prohibitively costly to measure the outputs of the Financial Secretary as his outputs are not standardised. (2)

2024/DSE/II/11a

- (a) Advantage:
possibility of earning a higher income by providing better services (1)
- Disadvantage:
higher risk of income fluctuations (1)